

Redefining Tea Culture in the U.S.

2025 ICC Final Deliverable

INTERNATIONAL CONSULTING CLUB
at the University of Southern California

Agenda

Project Overview	1	Project Scope and Methodologies
Timeline	2	Recap of Project Timeline
Consumer Insights Survey	3	Insights from Consumer Insights Survey
Case Studies	4	Data from Case Studies and Recommendations for CHAGEE
Next Steps	5	Analysis of CHAGEE's Grand Opening and Ideas for the Future



Project Overview

Project Scope and Methodology

Guiding Question and Project Scopes

Guiding Question

How can CHAGEE successfully expand into the U.S. market, and achieve long-term success?



Scopes

Market Analysis

Where does CHAGEE stand in the current market? How can CHAGEE differentiate itself?

Consumer Insights

What is CHAGEE's target demographic? How can CHAGEE get them into the stores?

Marketing Strategies

What strategies can CHAGEE utilize to increase brand awareness and capture market share?

Business Development

What new business opportunities can CHAGEE explore to ensure long-term success?



Key Methodologies

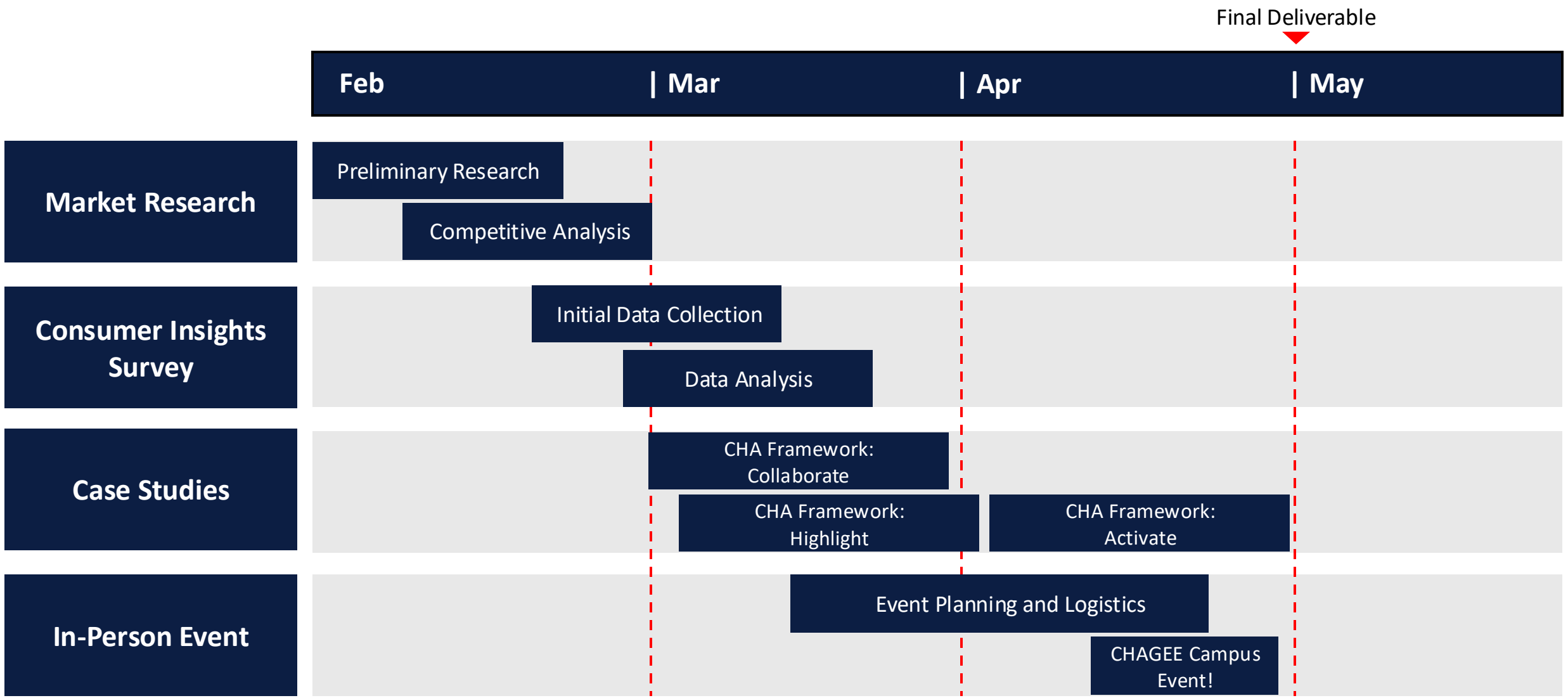
Methodology	Main Objectives
 **Market Research**	▪ Understand industry trends, competition, and market demand ▪ Gather data on pricing, customer demographics, and purchasing behavior
 **Consumer Insights Survey**	▪ Dive into customer preferences, motivators, and potential pain points ▪ Identify key factors influencing purchasing decisions
 **Case Studies**	▪ Research successful brands and industry leaders to analyze applicable practices ▪ Assess CHAGEE's past marketing campaigns to determine key success drivers
 **In-Person Event**	▪ Create brand engagement opportunity through product sampling ▪ Establish market presence and customer loyalty prior to opening

Timeline and Next Steps

Recap of Project Timeline



Recap of Project Timeline



Consumer Insights Survey

Takeaways from Consumer Insights Survey

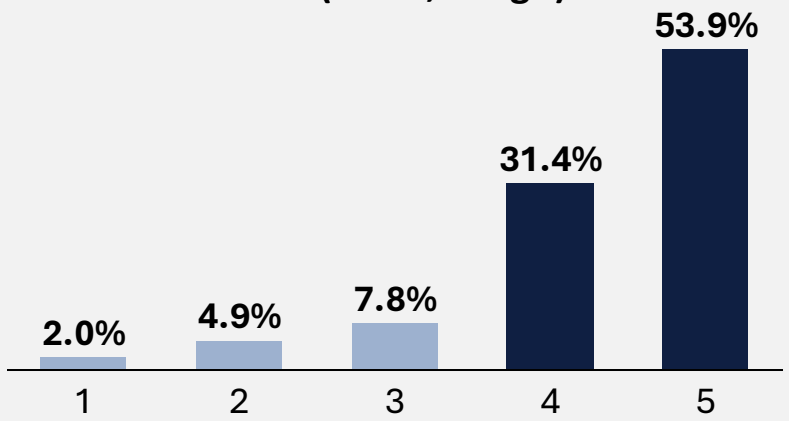


Survey Overview

Main Objective	Understand current U.S. consumer preferences to aid CHAGEE's market expansion and brand positioning			
Initiatives Covered	**Preferences** How important are cup design and store layout to consumers?	**Content** What type of content do consumers engagement in?	**Merchandise** Is there an interest in CHAGEE's merchandise?	
Survey Snapshot	**100+** Responses	**60%** Never heard of CHAGEE before	**80%** Have never tried CHAGEE's drinks	

How Aesthetic Value Drives Customer Experience and Loyalty

Importance of Interior Aesthetics on Experience and Visit Decisions (1 low, 5 high)

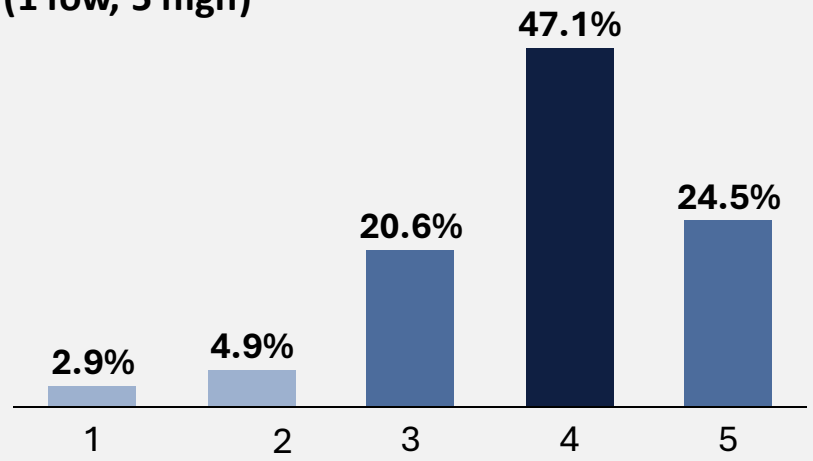


Average Rating: **4.3**

~54% *of Responses Rated 5*

~93% *of Responses Rated 3 or more*

Importance of Drink Design Aesthetics (1 low, 5 high)

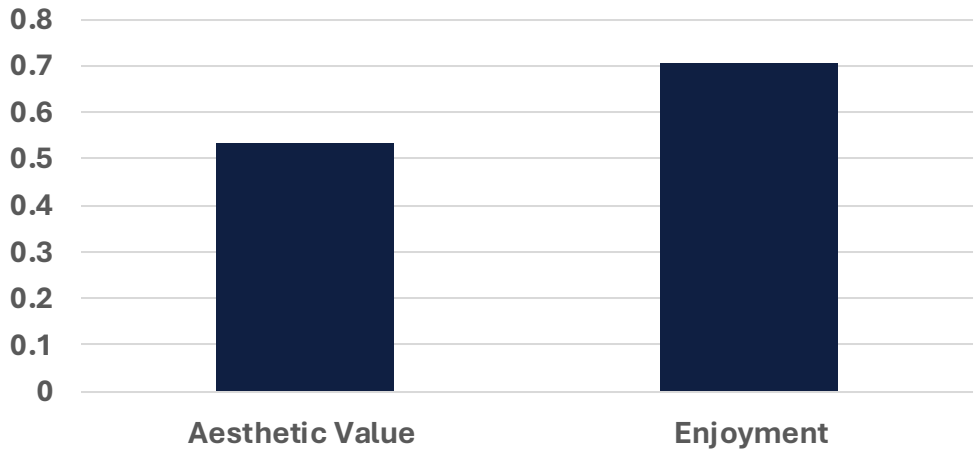


Average Rating: **3.9**

~70% *of Responses Rated 4 or 5*

~92% *of Responses Rated 3 or more*

Secondary Research: *How Aesthetic Value Drives Customer Experience and Loyalty*



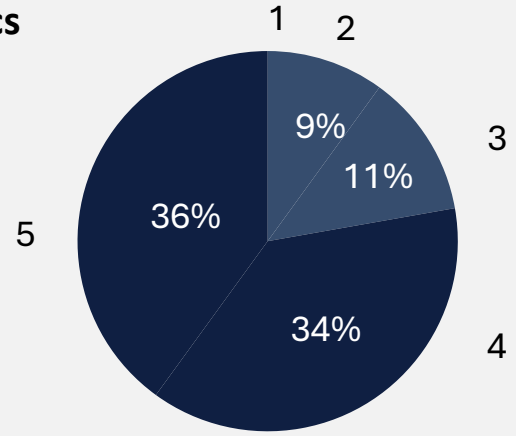
1500+
Sample size

~50%
of customers' intent to **revisit** can be explained by **aesthetic experience**

~70%
increase in **retention** with each **one-unit increase** in **aesthetic experience**

CHAGEE Can Leverage the Existing Store's Layout and Drinks Aesthetics to Incentivize Visits from New U.S. Customers

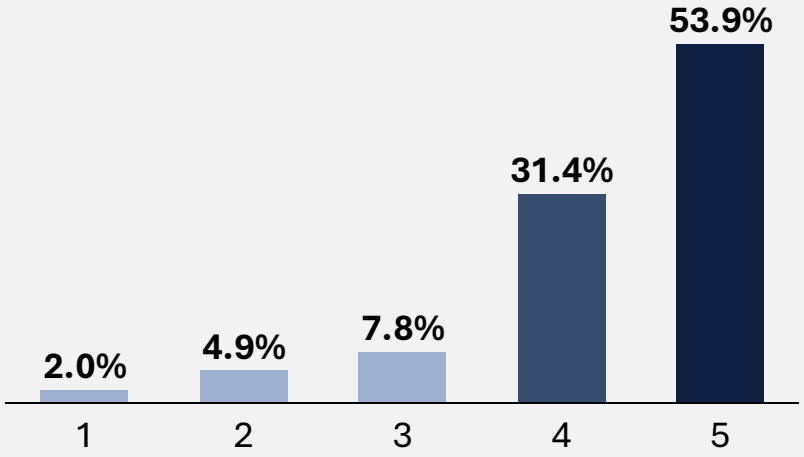
Rating on CHAGEE's Cup Design Appeal and Aesthetics



Average Rating: **3.67**

>70% *of Responses Rated 4 or 5*

Rating on CHAGEE's Store's Layout (Appeal and Overall Aesthetics)



Average Rating: **4.30**

>85% *of Responses Rated 4 or 5*





Key Takeaways

Strong perception of CHAGEE's **drinks** and **layout aesthetics**

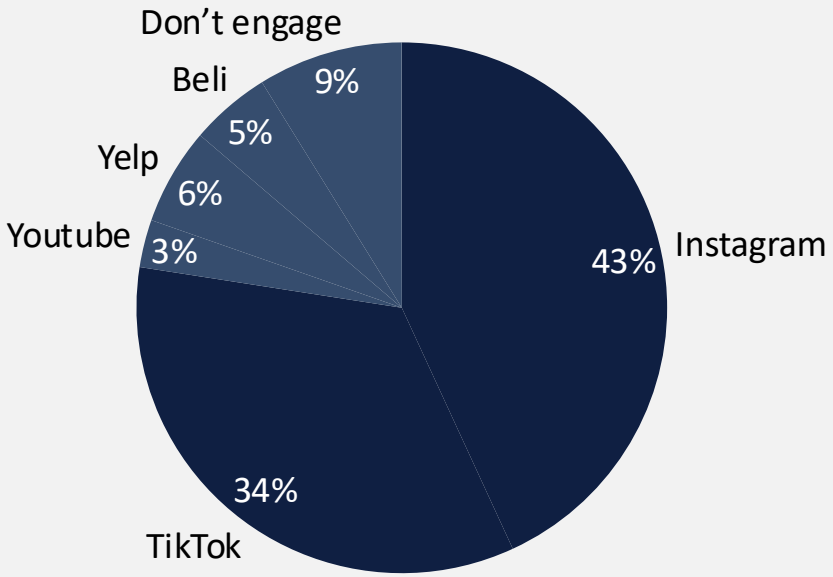
- **Strongly positioned** in the market by **solidifying brand image** as "premium" tea

Leverage CHAGEE's strong aesthetic value

- To **differentiate itself from competition** and as a tool to **increase customer retention**

CHAGEE Can Drive Online Engagement By Creating Visually Appealing Content and Highlight Social Impact Initiatives to Build Brand Image

Preferred Social Media Platforms for Food and Beverage Content Engagement



Instagram and TikTok are the leading platforms for F&B Content, indicating a preference for short-form videos

Visually Appealing

The results demonstrate a preference for **short-form**, **visually-appealing** videos over text-based reviews on platforms like **Yelp** and **Beli**

Frequent Updates

Following the success of CHAGEE Malaysia's Instagram, the frequency of Instagram posts should be **one post** every **one to two days**

Social Impact

Gen Z values authenticity and sustainability[1], so CHAGEE should showcase their **sustainability** and **social impact initiatives** to build their brand image

Source: [1]International Food Information Council

CHAGEE Should Pursue An Omnichannel Marketing Strategy: Reaching Customers Through Both Digital Content and Offline Engagement

50% of respondents discover **new food recommendations** through **word of mouth**

89% of those who **don't engage with F&B content rely on word of mouth** for food recommendations



Seasonal Offerings

In line with CHAGEE's unique cup designs, create buzz through **collaborations** with **artists**, **holidays** and **cultural events** in LA such as Coachella and the Academy Awards



Referral Programs

Launch a **referral program** that not only encourages **word of mouth**, but also **incentivizes** potential customers to try CHAGEE for the first time by offering discounts

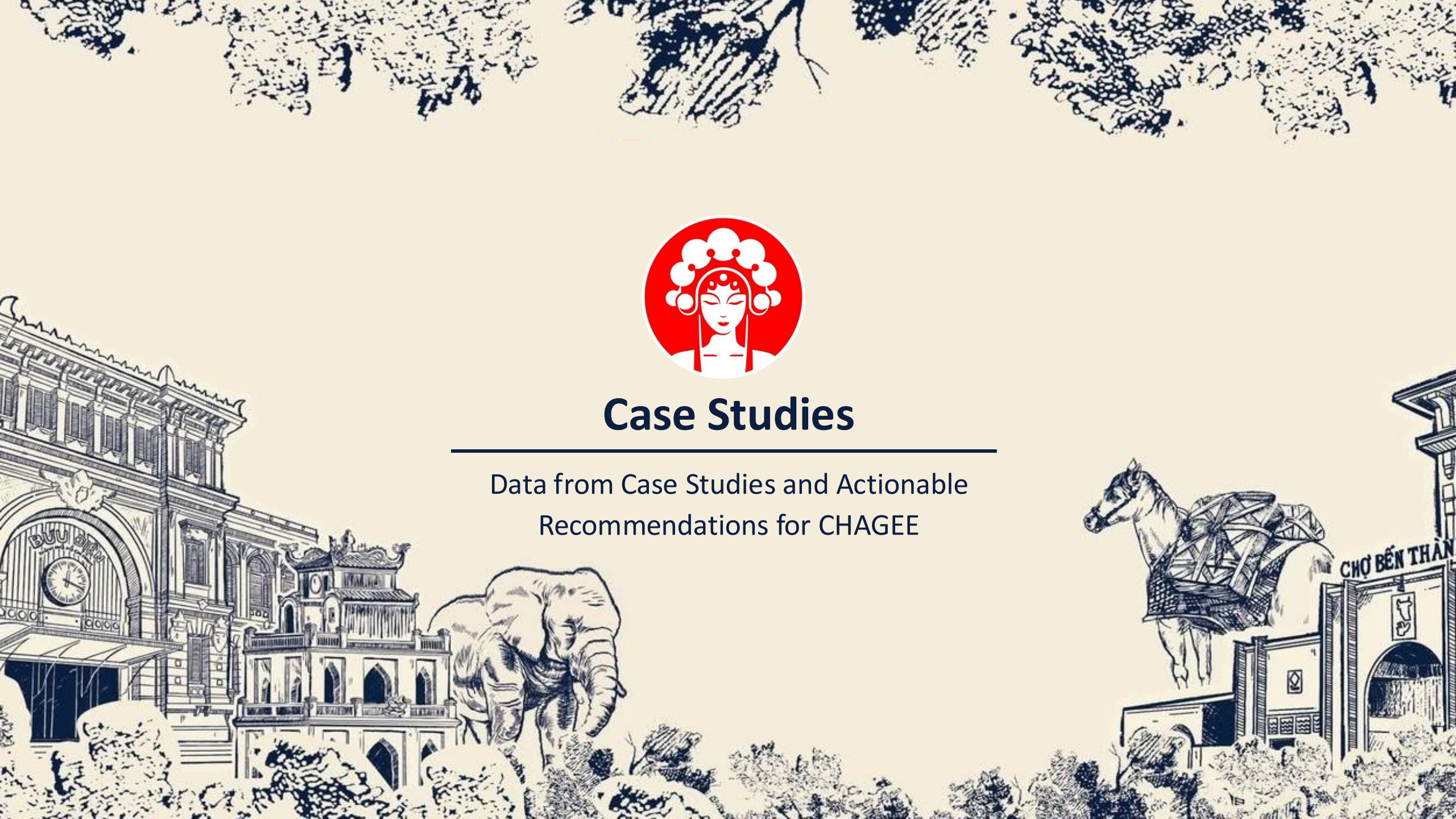


Promotional Events

Incentivize group visits through **branding and promotions** like "bring a friend to buy 1 get 1" or bundle discounts that can also encourage **user-generated content**

Case Studies

Data from Case Studies and Actionable Recommendations for CHAGEE



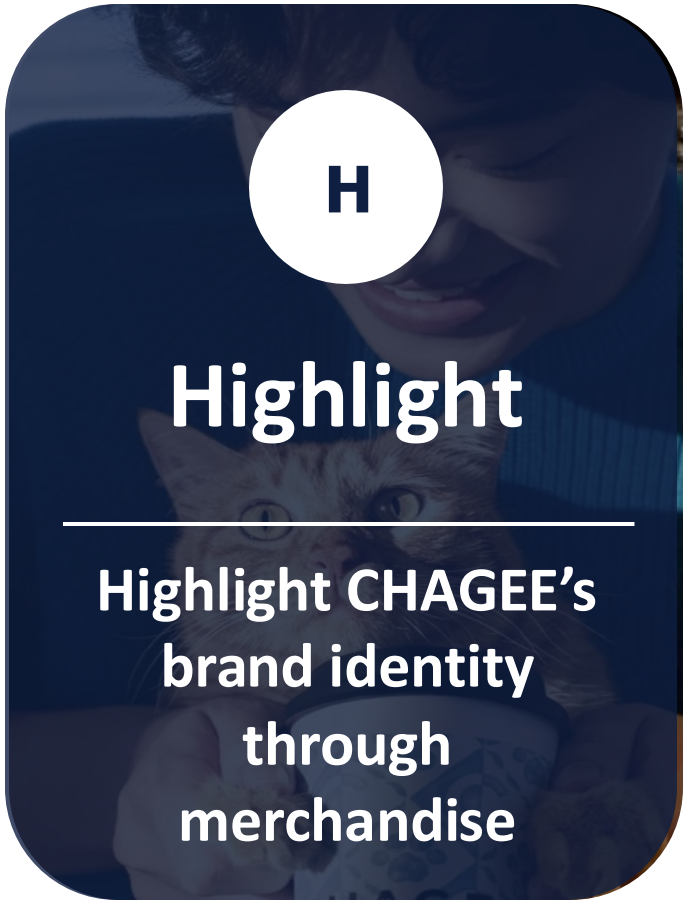
Brewing CHA Into Every Customer Moment



C

Collaborate

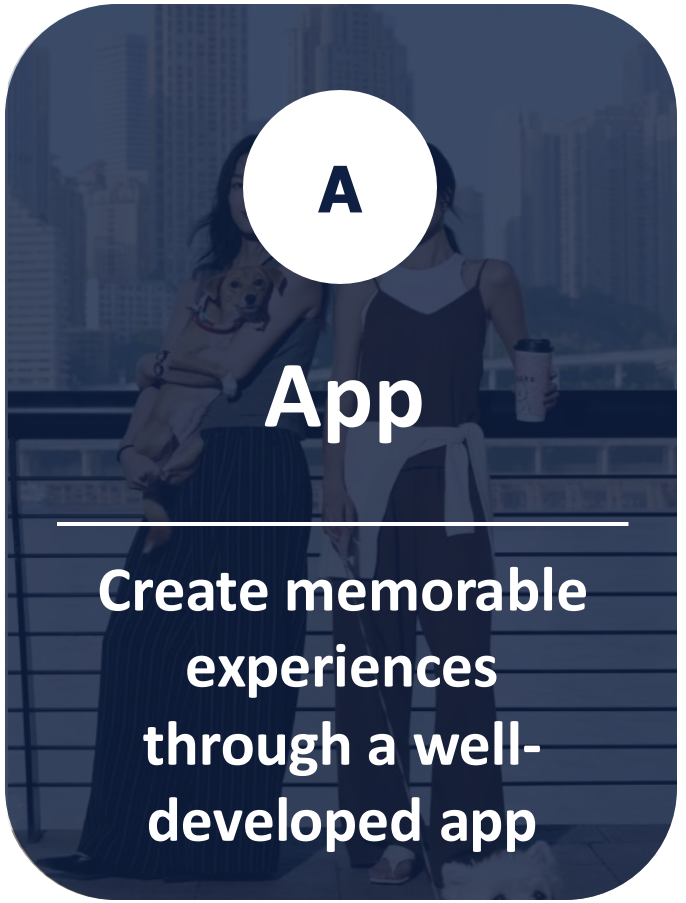
Boost CHAGEE's exposure through collaborations



H

Highlight

Highlight CHAGEE's brand identity through merchandise



A

App

Create memorable experiences through a well-developed app

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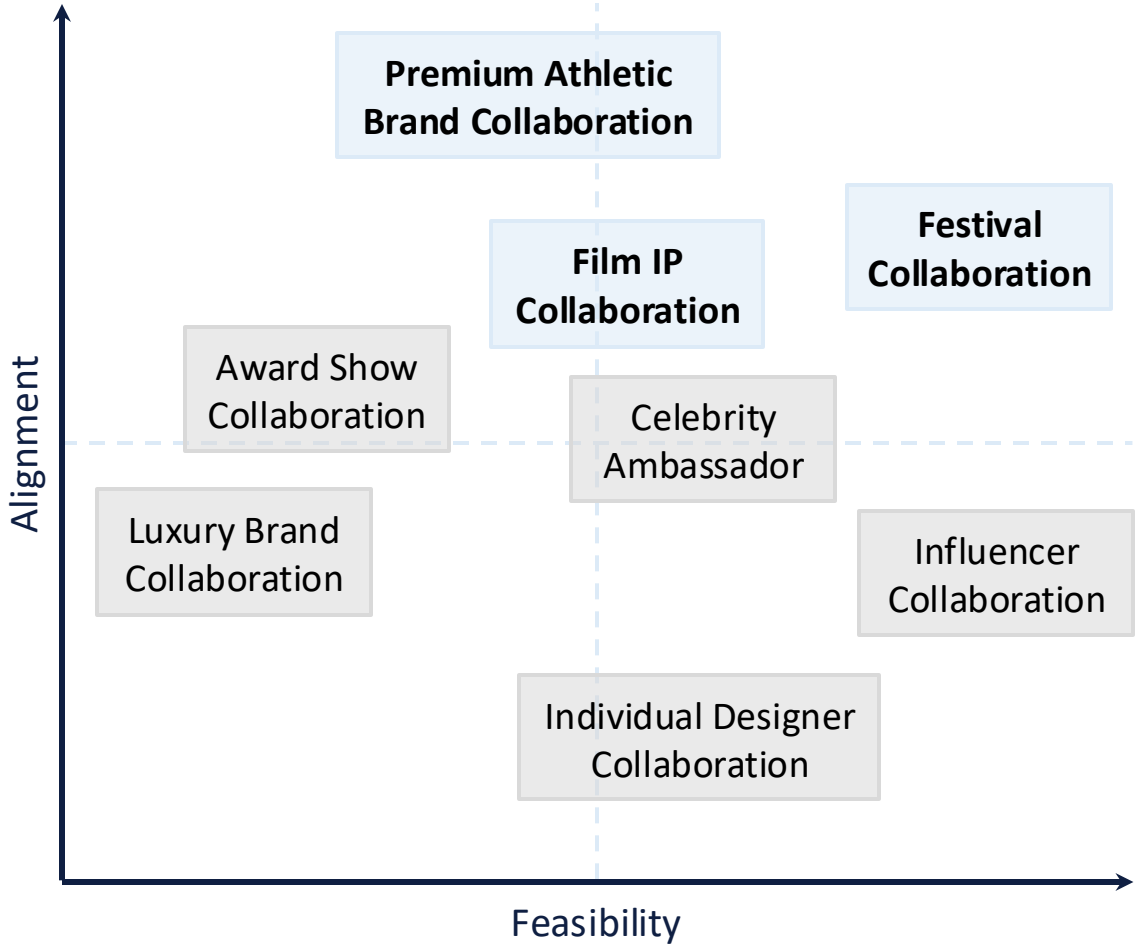
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CHAGEE Should Evaluate Potential Collaborations Based On Brand And Audience Alignment And Feasibility of The Partnership

Prioritization of Collaborations



Metrics Considered for Prioritization

Alignment



Brand Alignment
Collaboration should elevate CHAGEE's image as a premium and culturally rooted brand



Target Demographic Fit
Collaboration should resonate with Gen Z and Millennial tea drinkers

Feasibility



Partnership Access and Readiness
Ease of reaching and securing the partnership based on existing connections and networks



Operational Complexity and Barriers
Difficulty to execute considering licensing fees, custom packaging needs and timelines

CHAGEE Can Leverage Film Partnerships as a Cultural Shortcut to Youth, Mainstream Relevance

Rationale for Movie Collaboration

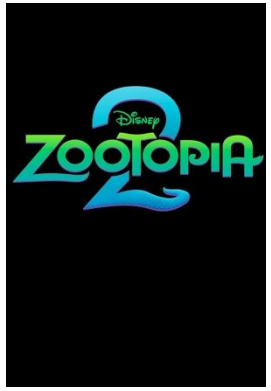
1. **Rapid Brand Awareness**
   A recognizable film offers a fast-track into mainstream media

2. **Experiential Marketing**
   Allows for creative limited-edition product and packaging

Case study: CHAGEE x Ne Zha 2

CHAGEE partnered with Ne Zha 2 by launching a **limited-edition product line**. The collaboration topped the **Hot Search list on Weibo**, China's leading social media platform, and amassed **over 100M views**.

Upcoming Move Releases in 2025

Highly-Anticipated Movies of 2025				
Release Date	Nov. 2025	Jul. 2025	Aug. 2025	Dec. 2025
Alignment	■■■	■■□	■□□	■□□
Rationale	Gen Z, Nostalgia	Gen Alpha, families	Gen Alpha, families	Global blockbuster

CHA: Collaborate | Strategic fashion collaborations connect CHAGEE with wellness-driven, style-conscious consumers

Fashion Brands	**lululemon** Premium athletic apparel targeting affluent **Millennial and Gen Z women**	**alo** Trendy, street-style activewear, primarily focusing on **yoga and studio wear**	**vuori** Coastal-inspired clothes for **Millennials and Gen Z**, with **strong appeal to men**
Fashion Designers	**Luxury Fashion** Complement the premium position of CHAGEE **Cultural Heritage** Designers that celebrate Chinese culture and heritage	**Yuhan Wang** Romantic and Chinese-inspired silhouettes and floral designs **Jason Wu** Cross-cultural designs, blending tradition and modern luxury	

Case study: HeyTea x ANTA



HeyTea and ANTA **co-branded bottled drinks and merchandise packages** for Paris 2024. The campaign's hashtag gained **130M views and 80K engagements** on social media.

CHAGEE can **co-create limited-edition drinks or clothing products** with Lululemon, Alo or Vuori, reinforcing their shared focus on **mindfulness, aesthetics, and modern lifestyle rituals**.

CHA: Collaborate | Strategic fashion collaborations connect CHAGEE with wellness-driven, style-conscious consumers

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	Cultural Heritage Designers that celebrate Chinese culture and heritage	**Jason Wu** Cross-cultural designs, blending tradition and modern luxury

Case study: HeyTea x Sandy Liang



HeyTea collaborated with Sandy Liang for a **limited-edition merchandise** including mugs, cup sleeves and coasters showcased at **New York Fashion Week**.

CHAGEE can collaborate with individual fashion designers to **launch limited-edition merchandise and pop-up tea bars** timed with **fashion week events or seasonal drink launches**.

Collaborations with Festivals and Events Offer a Unique Avenue to Increase Brand Visibility and Sales

Reasons to Collaborate with Festivals and Events

Build **relevance** by aligning with events that shape **trends** and **identity**

Expand **reach** through **media exposure** with **high-traffic festivals**

Create **lasting impressions** through memorable **brand experiences**

Boost sales with **exclusive drops** and **festival-themed offerings**

Key Features

Event-exclusive products

Joint marketing campaigns



On-site activations

Joint marketing campaigns

Case Study: Coca-Cola

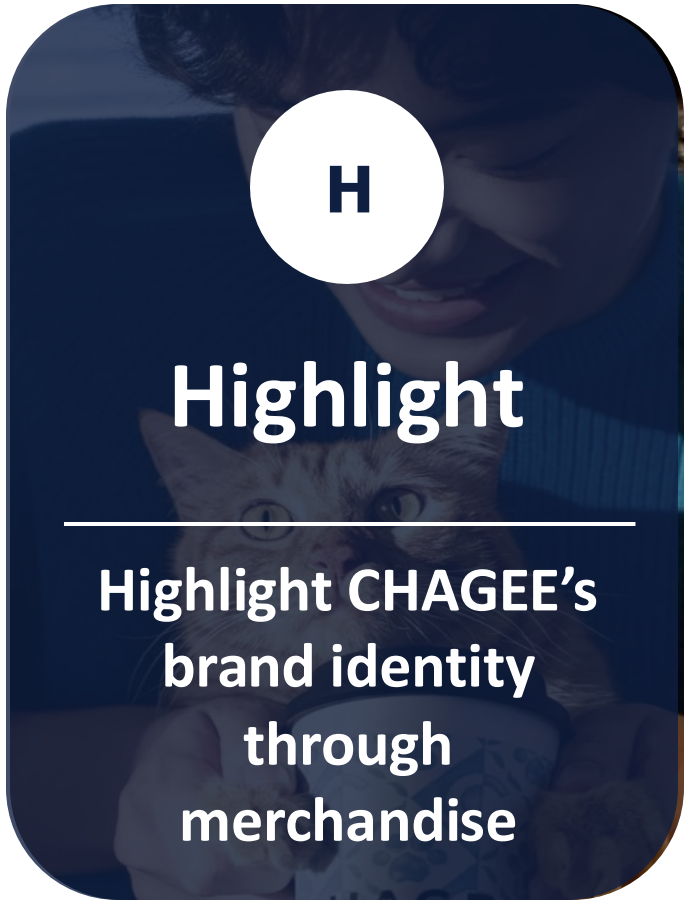
Coca-Cola has leveraged music festivals like **Lollapalooza** and **Coachella** as platforms for marketing. They set up **custom-branded lounges** offering shade, seating, and child beverages

Brewing CHA Into Every Customer Moment

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Collaborate

Boost CHAGEE's exposure through collaborations



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Highlight

Highlight CHAGEE's brand identity through merchandise

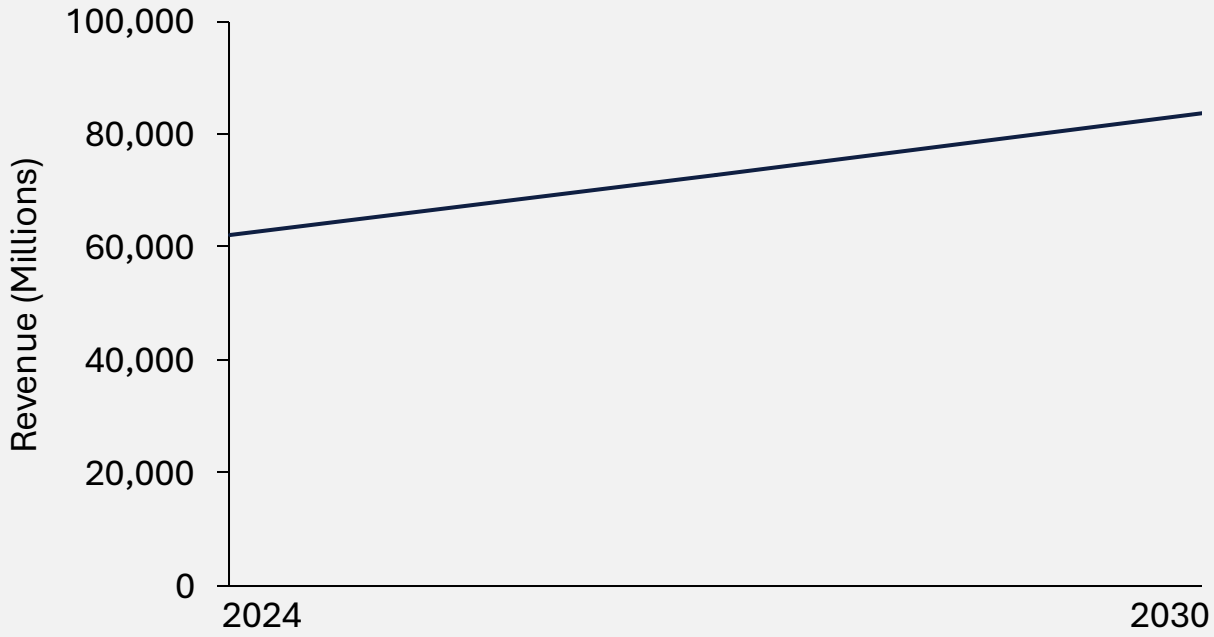
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Market Overview: Would the Collectibles Market be a Profitable Avenue for CHAGEE in the Long Run?

US Collectibles Market



5.3%

Projected growth rate over the course of 6 years[1]

⇩

83.7 Billion USD

Projected Annual Revenue by 2030[1]

⇩

1.5 Billion USD

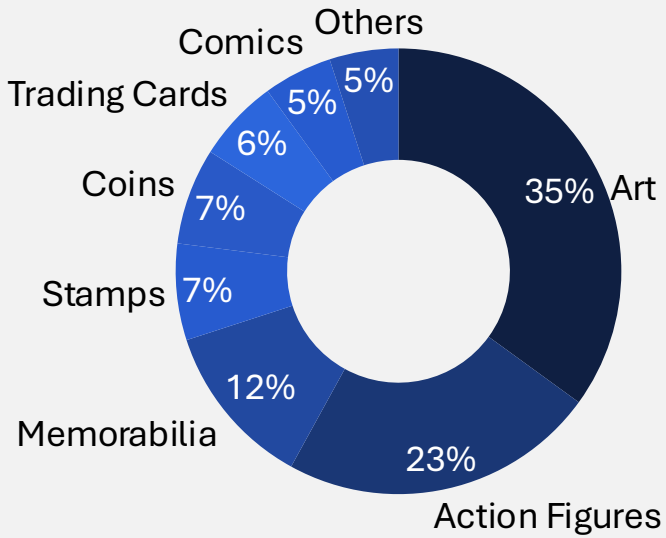
Revenue from toys and action figures[2]

Source: [1]GrandViewResearch, [2]NewYorkPost

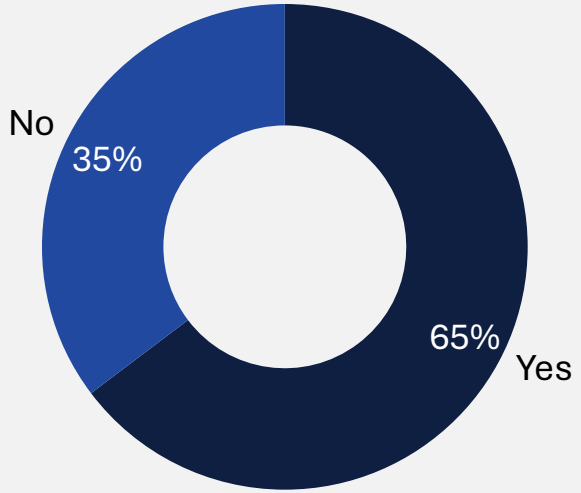
CHA: Highlight

CHAGEE Can Capitalize on U.S. Consumer Interest for Collectibles to Drive Engagement, Enhance Customer Loyalty, and Increase revenue

US Collectible Preferences



Surveyed Interest in CHAGEE's Collectibles(plushie)



Key Takeaways

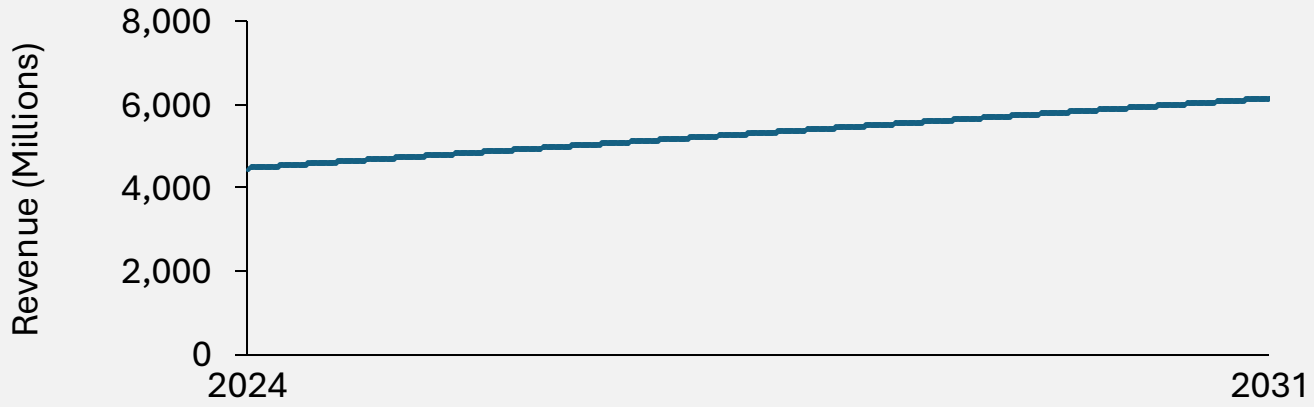
- CHAGEE should leverage collectibles as a mean to drive **brand engagement** and create an **additional revenue stream**
- By **tailoring** collectible merchandise to U.S. consumer preferences, CHAGEE can effectively use merchandise to drive **brand loyalty**

Source: [1]GrandViewResearch, [2]Medium

CHA: Highlight

CHAGEE Should Look to Highlight Growing Blind Box Market in the U.S. to Expand Product Innovation and Appeal

US Blind Box Market Projections (in millions, USD)





5.5%

Projected growth rate over the course of 7 years[1]

6.18 Billion USD

Projected market size by 2031[1]

Action figures, like Labubus, make up the dominant market share in the U.S blind box market[2,3]

Source: [1]CognitiveMarketResearch, [2]Vogue, [3]NYTimes

CHA: Highlight

CHAGEE Can Strengthen Brand Identity By Establishing Limited Edition and Permanent Merchandise Lines









Limited Edition Collectibles

- Use similar collectibles as CHAGEE's branches in Kuala Lumpur (**scarves, magnetic card holders**)[2]
- Highlight rising popularity of **blind boxes** and other **limited-edition** trinkets[3]

Permanent Merchandise

- Establish **permanent merchandise** line comprising of **action figures**, like Sonny Angels, and **artistic apparel**
- Permanent Merchandise can drive **brand loyalty** and increase **consumer interest**[1]

Source: [1]Linkedin, [2]MalaysiaFreebies, [3]FortuneBusinesInsight

Brewing CHA Into Every Customer Moment

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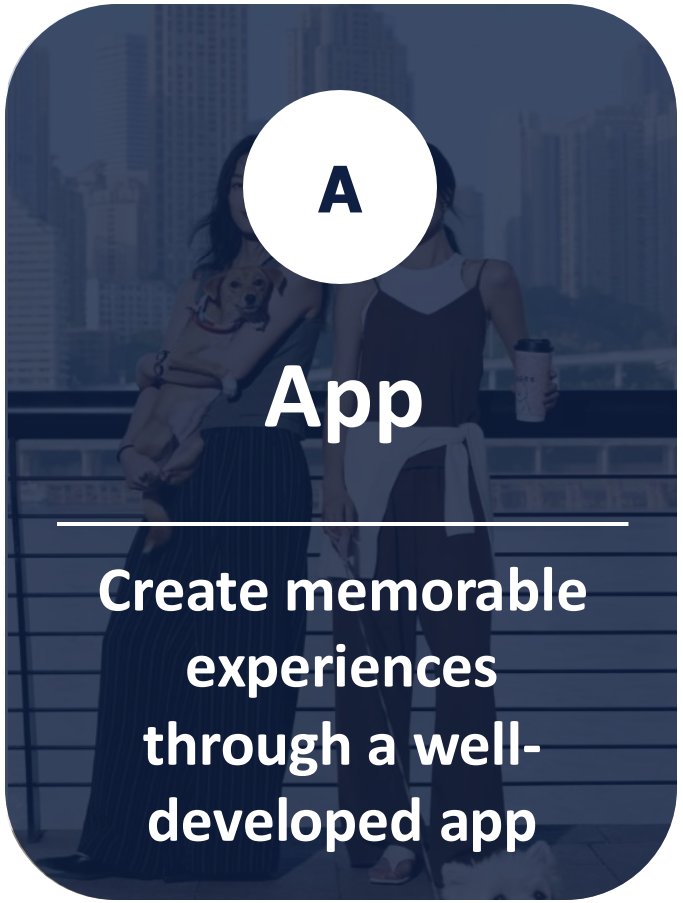
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Boost CHAGEE's exposure through collaborations

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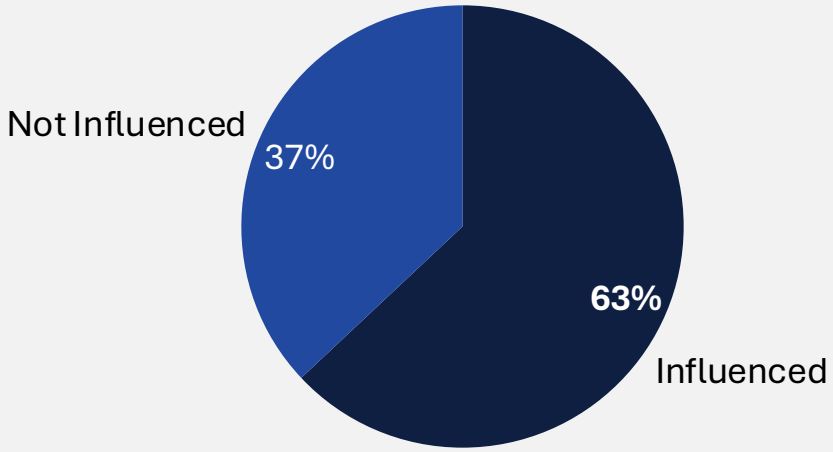
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App

Create memorable experiences through a well-developed app

Case Studies Find That a Personalized Loyalty Program That Provides Financial Rewards Drives Customer Loyalty

Influence of Loyalty Programs on Buying Decisions



Source: [1]Bain & Company & ROI Rocket, 2024, n=870

86 % of respondents rated **financial rewards** and **ease of use** as “important” or “very important”

-Deloitte 2024 Consumer Loyalty Survey

80 % of consumers are more likely to engage with a **loyalty program** if the rewards are **personalized**

-McKinsey & Company 2020 Article

Key Takeaways

A rewards app that is be easy to use, has **consistent financial rewards**, and **personalized** to each user's demographic background has the potential to **create a loyal consumer base**

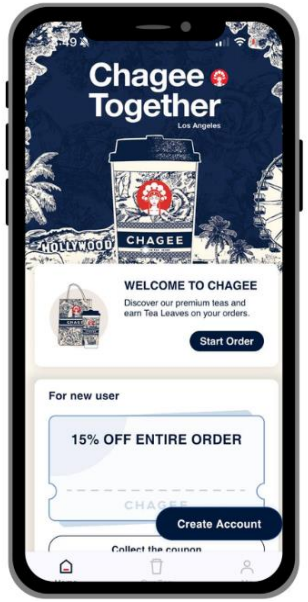
Implementation Steps For CHAGEE's Existing Loyalty Program: Convenience

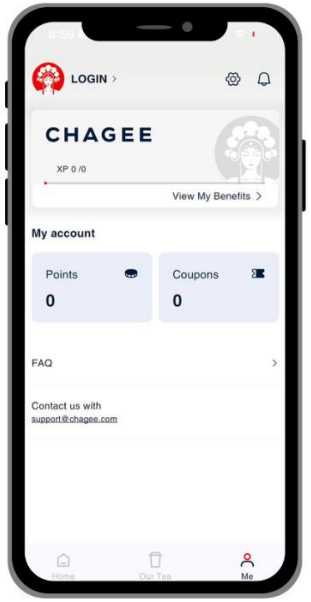
Convenience | Financial Rewards | Personalize

Make CHAGEE's app convenient by adding mobile order, queue visibility, and reorder features

Post cash back and rewards posts 1-2x a week on Instagram and Tik Tok to promote app

Gather data on consumers preferences and send tailored rewards to them





Recommendations

- Implement a **mobile order pick up** system that alerts users when drinks are ready, so they can avoid long, unnecessary lines
- Enable **real-time queue visibility** through the app so customers can strategically plan their visits for when wait times are lowest
- Introduce a **one-click reorder feature**, allowing customers to quickly place their usual order without navigating the full menu

Implementation Steps For CHAGEE's Loyalty Program: Financial Rewards

Convenience | **Financial Rewards** | Personalize

Make CHAGEE's app convenient by adding mobile order, queue visibility, and reorder features

Post cash back and rewards posts 1-2x a week on Instagram and Tik Tok to promote app

Gather data on consumers preferences and send tailored rewards to them





Recommendations

- Post financial rewards content:
  - 50% off, BOGO, Buy 3 Get 1 Free, 1-2x per week
- Cater to the 86% who identified cash rewards as "important" or very important

Implementation Steps For CHAGEE's Loyalty Program: Personalized Rewards

Convenience

Make CHAGEE's app convenient by adding mobile order, queue visibility, and reorder features

Financial Rewards

Post cash back and rewards posts 1-2x a week on Instagram and Tik Tok to promote app

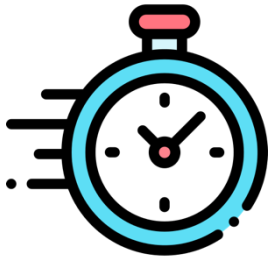
Personalize

Gather data on consumers preferences and send tailored rewards to them

Consumer Preferences



Tea Order



Time of Day



Location

Recommendations

1. Provide discounts on drinks they've ordered before
2. Reward timing (Lunch rewards if they order at noon)
3. Local store promotions for stores visited often

Next Steps

Recommendations

Ideas for Next Steps

1	**Incorporate lifestyle content in addition to marketing content (ex. behind the scenes)**
2	**SEOs and website optimization**
3	**App functionality and post-visit surveys to collect customer data**
4	**Improve training for peak hours**
5	**Campus ambassador programs**
6	**Explore U.S. exclusive menu ideas**
7	**Or any other ideas…?**



Thank you!

Questions?